



U.S. Customs and Border Protection

PUBLIC VERSION

September 27, 2021

EAPA Cons Case Number 7614

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RE: Notice of Initiation of Investigation and Interim Measures: Consolidated EAPA Case 7614

To the Counsel and Representatives of the above-referenced Entities:

This letter is to inform you that U.S. Customs and Border Protection (CBP) has commenced a formal investigation under Title IV, Section 421 of the Trade Facilitation and Trade Enforcement Act (TFTEA) of 2015, commonly referred to as the Enforce and Protect Act (EAPA). Specifically, CBP is investigating whether ZL Center, LLC (“ZL Center”), USGS, Inc. (“USGS”), JGS Import, Inc (“JGS”), and US Sunergy Corp. (“US Sunergy”)¹ evaded the antidumping (“AD”) and countervailing duty (“CVD”) orders A-570-106 and C-570-107, respectively, on wooden cabinets and vanities and components thereof (“WCV”) from the People’s Republic of China² by entering into the United States Chinese-origin WCV that were transshipped through Malaysia and were falsely entered as Malaysian-origin merchandise not subject to the AD/CVD orders. Based on a review of available information, CBP has determined that there is reasonable suspicion of evasion of AD/CVD duties by ZL Center, USGS, JGS, and US Sunergy, and therefore, CBP is issuing a formal notice of investigation (“NOI”) and imposing the interim measures outlined below.

Period of Investigation

Pursuant to 19 C.F.R. § 165.2, entries covered by an EAPA investigation are those “entries of allegedly covered merchandise made within one year prior to the receipt of an allegation....” “Entry” is defined as an “entry for consumption, or withdrawal from warehouse for consumption of merchandise in the customs territory of the United States.”³ On March 12, 2021, MasterBrand Cabinets, Inc. (“MasterBrand”), a U.S. producer of wooden cabinets and vanities, filed EAPA allegations through its counsel.⁴ CBP acknowledged receipt of the properly filed allegation against ZL Center, USGS, JGS, and US Sunergy on May 28, 2021.⁵ In addition to the entries

¹ See Letter from the Allegor, “Wooden Cabinets and Vanities thereof from the People’s Republic of China: Request for an Investigation under the Enforce and Protect Act of ZL Center LLC,” dated March 12, 2021 (“ZL Center Allegation”); Letter from the Allegor, “Wooden Cabinets and Vanities thereof from the People’s Republic of China: Request for an Investigation under the Enforce and Protect Act of USGS, Inc.,” dated March 12, 2021 (“USGS Allegation”); Letter from the Allegor, “Wooden Cabinets and Vanities thereof from the People’s Republic of China: Request for an Investigation under the Enforce and Protect Act of JGS Import, Inc.,” dated March 12, 2021 (“JGS Allegation”); and Letter from the Allegor, “Wooden Cabinets and Vanities thereof from the People’s Republic of China: Request for an Investigation under the Enforce and Protect Act of US Sunergy Corp.,” dated March 12, 2021 (“US Sunergy Allegation”)(collectively, the “Allegations”).

² See *Wooden Cabinets and Vanities and Components Thereof from the People’s Republic of China*, 85 Fed. Reg. 22,126 (Dep’t Commerce Apr. 21, 2020) (antidumping duty order) (“AD Order”); *Wooden Cabinets and Vanities and Components Thereof from the People’s Republic of China*, 85 Fed. Reg. 22,134 (Dep’t Commerce Apr. 21, 2020) (countervailing duty order) (“CVD order”) (collectively, the “Orders”).

³ See 19 C.F.R. § 165.1.

⁴ See Allegations.

⁵ See “Receipt Notification Email to Timothy C. Brightbill, Esq of Wiley Rein LLP for EAPA 7614,” dated May 28, 2021; “Receipt Notification Email to Timothy C. Brightbill, Esq of Wiley Rein LLP for EAPA 7615,” dated May 28, 2021; “Receipt Notification Email to Timothy C. Brightbill, Esq of Wiley Rein LLP for EAPA 7616,” dated May 28, 2021; and “Receipt Notification Email to Timothy C. Brightbill, Esq of Wiley Rein LLP for EAPA 7617,” dated May 28, 2021.

made within the period of investigation and those entries raised in the allegation, CBP may also investigate other entries of such covered merchandise at its discretion.⁶

Initiation

On June 22, 2021, the Trade Remedy Law Enforcement Directorate (“TRLED”) within the CBP Office of Trade initiated an investigation under EAPA as the result of the allegations submitted by MasterBrand, the alleger, as to evasion of AD/CVD duties by ZL Center, USGS, JGS, and US Sunergy.⁷ MasterBrand alleges that information available to the company reasonably suggests ZL Center evaded the *AD* and *CVD Orders* through the transshipment of Chinese-origin wooden cabinets and vanities through Polygonplus Industry Sdn Bhd (“Polygonplus”)⁸, a Malaysian manufacturer.

According to MasterBrand, ZL Center is an importer of WCV transshipped through Polygonplus in Malaysia. With the imposition Commerce’s preliminary determination for WCV in August 2019,⁹ US imports of the subject merchandise from China decreased with a significant rise of imports from Malaysia.¹⁰ Further, there was little evidence that manufacturing in Malaysia of WCV could support the U.S. demands and the required quantities for U.S. imports.¹¹

The allegation provided trade data which suggested that Malaysian imports of wooden cabinets from China increased since the imposition of AD/CVD rates by 307 percent from 2018 to 2019 and by more than 296 percent in January through October 2020.¹² Specifically, [] bill of lading data identified Polygonplus as the Malaysian exporter for U.S. shipments after the imposition of the AD/CVD orders, totaling 7 million kilograms.¹³

According to the foreign market research report, Polygonplus incorporated in March 2020 as furniture installers and manufacturers of glass products.¹⁴ [] is identified as the director and sole shareholder and the company’s secretary is [].¹⁵ The registered address for Polygonplus is No. 88M Lebu Turi, Taman Chi Liung, 41200 Klang Selangor, Malaysia, however, the allegation’s Google Maps picture of this location does not show a manufacturing facility.¹⁶ Review of a secondary address for the manufacturer of 18, Jalan Sri Haneco 1/12, Kawasan Perindustrian Sri Haneco, 43500, Selangor, Semenyih, Malaysia, also offers no evidence of manufacturing.¹⁷

⁶ See 19 C.F.R. § 165.2.

⁷ See Memorandum to Brian Hoxie, Director, Enforcement Operations Division, “Initiation of Investigations for EAPA Allegations 7614 – ZL Center,” dated June 22, 2021; Memorandum to Brian Hoxie, Director, Enforcement Operations Division, “Initiation of Investigations for EAPA Allegations 7615 – USGS, Inc.,” dated June 22, 2021; Memorandum to Brian Hoxie, Director, Enforcement Operations Division, “Initiation of Investigations for EAPA Allegations 7616 – JGS Imports Inc.,” dated June 22, 2021; and *also see* Memorandum to Brian Hoxie, Director, Enforcement Operations Division, “Initiation of Investigations for EAPA Allegations 7617 – US Sunergy Corp.,” dated June 22, 2021 (collectively, the “Initiation”).

⁸ *Id.*

⁹ See Allegations.

¹⁰ *Id.*

¹¹ *Id.*

¹² *Id.*

¹³ *Id.*, at Exhibit 3.

¹⁴ *Id.*, at Exhibit 7.

¹⁵ *Id.*

¹⁶ *Id.*, at 10.

¹⁷ *Id.* (citing Polygonplus Google Maps Excerpts, attached at Exhibit 8).

The market research report further referenced contact with [REDACTED],¹⁸ determined the actual leadership of Polygonplus.¹⁹ [REDACTED] detailed the scheme that positions Polygonplus as a “fronting company”²⁰ that transships Chinese origin cabinets. Part of the plan included [REDACTED], the acquisition of [REDACTED] for Malaysia, [REDACTED] in Port Klang, and [REDACTED].²¹ [REDACTED] also offered access to “[REDACTED]” required to import WCV into the United States and said that [REDACTED].²² [REDACTED] multiple companies that may be used to transship around [REDACTED] kitchen cabinets [REDACTED].²³

According to [REDACTED] bill of lading data,²⁴ ZL Center, USGS, JGS, and US Sunergy imported [REDACTED] kilograms²⁵ of WCV from Polygonplus from August 2020 through February 2021.²⁶ There was an increase in WCV import activity from Malaysia since the imposition of the imposition of the AD/CVD orders for these entries.²⁷

Initiation Assessment

TRLED will initiate an investigation if it determines that “{t}he information provided in the allegation... reasonably suggests that the covered merchandise has been entered for consumption into the customs territory of the United States through evasion.”²⁸ “Evasion” is defined as “the entry of covered merchandise into the customs territory of the United States for consumption by means of any document or electronically transmitted data or information, written or oral statement, or act that is material and false, or any omission that is material, and that results in any cash deposit or other security or any amount of applicable antidumping or countervailing duties being reduced or not being applied with respect to the covered merchandise.”²⁹ Thus, the allegation must reasonably suggest not only that merchandise subject to an AD and/or CVD order was entered into the United States by the importer alleged to be evading, but that such entry was made by a material false statement or act, or material omission, that resulted in the reduction or avoidance of applicable AD and/or CVD cash deposits or other security.

In assessing the claims made and evidence provided in the allegation, TRLED found that the allegation reasonably suggests that ZL Center, USGS, JGS, and US Sunergy has engaged in attempts to evade the AD and CVD Orders by transshipping Chinese-origin wooden cabinets and vanities through Malaysia into the United States and failing to declare the merchandise as subject to the AD and CVD Orders. Consequently, TRLED initiated investigations pursuant to 19 U.S.C. § 1517(b)(1) and 19 C.F.R. § 165.15.

¹⁸ See Allegations at Exhibit 7.

¹⁹ *Id.*

²⁰ *Id.*

²¹ *Id.*

²² *Id.*

²³ *Id.*

²⁴ *Id.*, at 14.

²⁵ *Id.*

²⁶ *Id.*

²⁷ See Orders.

²⁸ See 19 C.F.R. § 165.15(b); see also 19 U.S.C. § 1517(b)(1).

²⁹ See 19 C.F.R. § 165.1; see also 19 U.S.C. § 1517(a)(5)(A).

Interim Measures

Not later than 90 calendar days after initiating an investigation under EAPA, TRLED will decide based on the record of the investigation if there is reasonable suspicion that merchandise covered by the AD and CVD Orders was entered into the United States through evasion. If reasonable suspicion exists, CBP will impose interim measures pursuant to 19 U.S.C. § 1517(e) and 19 C.F.R § 165.24. As explained below, CBP is imposing interim measures because the evidence establishes reasonable suspicion that ZL Center, USGS, JGS, and US Sunergy entered covered merchandise into the customs territory of the United States through evasion by means of transshipment of Chinese-origin wooden cabinets and vanities through Malaysia.

CF-28 Responses/Cargo Exams and Analysis

CBP issued CBP Form 28 (“CF28”) requests for information to ZL Center, USGS, JGS, and US Sunergy. The CF28s requested various information including invoices, packing slips, bills of lading, sources of raw materials, and production records related to entries from Malaysia during the period of investigation (POI). Additionally, cargo examinations of these importers’ shipments were performed to determine the validity of the requested information.

ZL Center

On July 8, 2021, CBP requested from ZL Center information concerning entry number []3495, and on July 23, 2021, the broker submitted entry summary documentation.³⁰ ZL Center had not responded to its request for additional information.³¹ Trade data indicated that the last entries made by the importer were in March 2021.³² The allegor provided photographs of Polygonplus, the manufacturing site for the subject merchandise.³³ A subsequent internet search of the address for Polygonplus revealed the same imagery that showed no indication that manufacturing was occurring at the location.³⁴

USGS

On July 8, 2021, CBP requested from USGS information concerning entry number []9247,³⁵ and on September 7, 2021, USGS submitted a response after receiving a one-month extension.³⁶ The proof of payment submitted did not match the entry.³⁷ USGS reported having two business addresses.³⁸ However, these addresses appear to be residential locations that cannot support storing its inventory.³⁹ A search of publicly available business information for the state of Illinois indicated that as of May 14, 2021, USGS was involuntarily dissolved.⁴⁰ Trade data confirms that the last imports for this company made entry on March 12, 2021.⁴¹ Photographs of Polygonplus from the allegation does not support that manufacturing is occurring

³⁰ See 07-08-2021 CEE- CF 28 Request []3495.

³¹ See 07-23-2021 CEE- CF 28 Response from Broker []3495.

³² See at 06-17-2021 DCNTAC Entry Data.

³³ See Allegation at Exhibit 8.

³⁴ See 04-01-2021TRLED- Polygonplus Name Industry Search.

³⁵ See 07-08-2021 CEE- CF 28 Request []9247.

³⁶ See 09-07-2021 CEE- CF 28 Response []9247.

³⁷ *Id.*

³⁸ *Id.*

³⁹ See 04-01-2021TRLED- Polygonplus Name Industry Search.

⁴⁰ See 09-22-2021 RA- IL State Doc.

⁴¹ See at 06-17-2021 DCNTAC Entry Data.

at the location.⁴² The CF 28 response included imagery of Polygonplus facilities with pictures of production.⁴³ The Polygonplus sign on the front of the building appears to be photoshopped.⁴⁴

JGS

On July 08, 2021, CBP requested from JGS information concerning entry number []4233,⁴⁵ and on August 12, 2021, a response was submitted to CBP.⁴⁶ The company does not use a contract or a purchase order, only a Proforma invoice as an initial order document.⁴⁷ This practice does not identify payment terms as evidenced in the slight difference in the amount on the proforma invoice and the actual invoice.⁴⁸ The proof of payment provided did match the invoice, which matched the total shipment amount during the time of order.⁴⁹ However, the value declared on [] listed the amount of []⁵⁰ while all other amounts declared amounted to [].⁵¹

The response only included production records for one portion of a cabinet.⁵² The certificate of origin contained a certify date after the date of freight departure.⁵³ The picture of the outside of Polygonplus that JGS provided has a company sign that appears photoshopped onto the building.⁵⁴ It does not match the building on Google Earth for the address listed for PolygonPlus.⁵⁵

CBP also performed a cargo exam for JGS entry []2695.⁵⁶ The merchandise did have the country-of-origin stamp for Malaysia, but the bill of lading did not list the feeder vessel or the main vessel.⁵⁷ Moreover, the bill of lading listed that the shipment was prepared in China.⁵⁸ As a result, the shipment was detained, and additional supporting documentation was requested. The purchase order submitted did not have terms of payment.⁵⁹ The proof of payment listed an amount of [], however the entered value of the shipment was [].⁶⁰ A furnished affidavit with the signature of the major shareholder of Polygonplus, declared its materials at least [] are locally sourced.⁶¹ CBP requested a single transaction bond (STB) because the country of origin (COO) could not be determined. The amount for ADCVD would total [].⁶² The status of the STB is pending.

⁴² See allegation at Exhibit 8.

⁴³ See CF 28 Response at 5.

⁴⁴ *Id.*

⁴⁵ See 07-08-2021 CEE- CF 28 Request []4233.

⁴⁶ See 08-12-2021 CEE- CF 28 Response []4233.

⁴⁷ *Id.*, at 5-6.

⁴⁸ *Id.*, at 4-6.

⁴⁹ *Id.*, at 10-11.

⁵⁰ See at 06-17-2021 DCNTAC Entry Data.

⁵¹ See Cf 28 response at 2.

⁵² *Id.*, at 16.

⁵³ *Id.*, at 9.

⁵⁴ *Id.*, at 19.

⁵⁵ See Allegations at Exhibit 8 and 04-01-2021TRLED - Polygonplus Name Industry Search.

⁵⁶ See 08-12-2021 CEE- Cargo Exam for []2695.

⁵⁷ See 08-12-2021 CEE- Cargo Exam Results for []2695.

⁵⁸ *Id.*

⁵⁹ See Cargo Exam Documents for []2695.

⁶⁰ *Id.*

⁶¹ *Id.*

⁶² *Id.*

US Sunergy

On July 7, 2021, CBP sent a CF28 for entry []1012⁶³ to US Sunergy and received a response on August 11, 2021.⁶⁴ The forwarded Malaysian certificate of origin document referenced invoice [] with the quantity of [] kgs.⁶⁵ In contrast, supporting documents, the CF 7501, the packing list and the invoice all identified [] as the invoice number.⁶⁶ Further, at the request of the investigative team, the port of Newark/NY placed a hold on entry []9746/shipment [] on July 08, 2021.⁶⁷ Photographs from the cargo examination indicated that the COO marking was ink stamped on the boxes of wooden cabinets.⁶⁸ CBP requested a STB in response to the inconsistencies in the paperwork submitted by US Sunergy. On September 10, 2021, the broker informed CBP that US Sunergy wanted to re-export in lieu of securing the STB. Subsequently, the broker contacted CBP three days later, stating the importer's intent to identify a surety company that will issue them an STB. Its original surety had denied their first request.

Summary

ZL Center, USGS, JGS, and US Sunergy has failed to provide either requested production records demonstrating their imported merchandise was produced by Polygonplus in Malaysia. The proof of address in Malaysia were questionable and bank statements did not adequately prove payment to the manufacturer in most cases. This, in conjunction with the aforementioned evidence submitted by the Allegor that CBP referenced in its initiation memoranda, TRLED has determined there is reasonable suspicion that those importers entered covered merchandise into the United States through evasion, by means of transshipment through Malaysia. Consequently, there is reasonable suspicion of evasion via transshipment.

Consolidation of the Investigations:

TRLED is consolidating these investigations into a single investigation covering the Importers. The new consolidated case number will be EAPA Consolidated Case 7614, and a single administrative record will be maintained. At its discretion, CBP may consolidate multiple allegations against one or more importers into a single investigation, pursuant to 19 C.F.R. § 165.13(a). In determining whether consolidation is warranted, CBP may consider certain factors, including, but not limited to, whether the multiple allegations involve: 1) relationships between the importers; 2) similarity of covered merchandise; 3) similarity of the AD/CVD orders; and 4) overlap in time periods of entries of covered merchandise.⁶⁹

In these investigations, ZL Center, USGS, JGS, and US Sunergy are alleged to have entered Chinese-origin WCV from Malaysia that are covered by the same AD/CVD orders. The Importers' entries also fall within a common period of investigation. Moreover, the Importers all have a common supplier in Malaysia. Because factors warranting consolidation are present in these investigations, CBP is consolidating them and providing this notice pursuant to 19 C.F.R. § 165.13(c). TRLED notes that the deadlines for the consolidated investigation will be set from the date of initiation of the investigations, which is November 13, 2020.

⁶³ See 07-08-2021 CEE- CF 28 Request for [] 3617.

⁶⁴ See 09-01-2021 CEE- CF 28 Response for [] 3617.

⁶⁵ *Id.*

⁶⁶ *Id.*

⁶⁷ See cargo exam request for [] 3617.

⁶⁸ See 08-31-2021 CEE-Cargo Exam Photos (7617).

⁶⁹ See 19 C.F.R. § 165.13(b).

Enactment of Interim Measures

Because of the reasons stated above, TRLED finds that there is reasonable suspicion that ZL Center, LLC, USGS, Inc., JGS Import, Inc, and US Sunergy Corp. entered covered merchandise into the customs territory of the United States through evasion by means of transshipment of WCV through Malaysia. Therefore, CBP is imposing interim measures pursuant to this investigation. Specifically, in accordance with 19 U.S.C. § 1517(e)(1)-(3), CBP shall:

- (1) suspend the liquidation of each unliquidated entry of such covered merchandise that entered on or after May 28, 2021, the date of the initiation of the investigation;
- (2) pursuant to the Commissioner's authority under 19 U.S.C. § 1504(b), extend the period for liquidating each unliquidated entry of such covered merchandise that entered before the date of the initiation of the investigation May 28, 2021; and
- (3) pursuant to the Commissioner's authority under 19 U.S.C. §1623, take such additional measures as the Commissioner determines necessary to protect the revenue of the United States, including requiring a single transaction bond or additional security or the posting of a cash deposit with respect to such covered merchandise.

Pursuant to its authority under subparagraph (3) to take such additional measures, CBP will require live entry requiring cash deposits to be posted prior to release of merchandise from CBP custody. CBP will reject any entry summaries that do not comply with live entry procedure and require refiling of entries that are within the entry summary rejection period. CBP will also evaluate ZL Center, USGS, JGS Import, and US Sunergy's continuous bonds to determine their sufficiency. Finally, CBP may pursue additional enforcement actions, as provided by law, consistent with 19 U.S.C. § 1517(h).

For any future submissions or factual information to CBP pursuant to this EAPA investigation, please provide a business confidential version and public version to CBP. In addition, please also provide a public version to the email addresses of the parties identified at the top of this notice.

Should you have any questions regarding this investigation, please feel free to contact us at eapallegations@cbp.dhs.gov. Please include “EAPA Cons Case Number 7614” in the subject line of your email. Additional information on this investigation, including the applicable statute and regulations, may be found on CBP’s EAPA website, <https://www.cbp.gov/trade/trade-enforcement/tftea/enforce-and-protect-act-eapa>.

Sincerely,

A handwritten signature in black ink, appearing to read "Brian M. Hoxie". The signature is fluid and cursive, with the first name "Brian" being the most prominent.

Brian M. Hoxie
Director, Enforcement Operations Division
Trade Remedy Law Enforcement Directorate
CBP Office of Trade